

CHAROTAR UNIVERSITY OF SCIENCE AND TECHNOLOGY (CHARUSAT)
MASTER OF BUSINESS ADMINISTRATION (MBA)
POST GRADUATE DIPLOMA IN MANAGEMENT (PGDM)
SEMESTER - IV - UNIVERSITY EXAMINATION MAY - 2018
MB827.3 INTERNATIONAL FINANCE

Date: 18/05/2018, Friday

Time: 10:00 AM to 01:00 PM

Maximum Marks: 70

Instructions:

1. This paper contains six questions.
2. All questions are compulsory.
3. The first five questions carry 10 marks. The last question carries 20 marks.

- Q.1 A What is the meaning of International Finance? How it differs from domestic Finance? 05 10
- B What is Exchange Rate? Explain the Merits and Demerits of fixed and flexible Exchange Rate. 05

- Q.2 A Following are the EUR/INR quotes: 05 10

Spot:	49.9525/80
1 Month Forward:	100/120
3 Month Forward:	225/255
6 Month Forward:	300/275

Calculate forward rates from above data.

- B Explain in detail – Triangular Arbitrage with example. What is a condition that will give rise to a triangular arbitrage opportunity? 05
- Q.3 A Explain Letter of Credit and different types of it. 05 10
- B What is carry trade arbitrage? Explain with one example. 05
- Q.4 Write short note on following, 10
- A Balance of Payment 05
- B Export import bank of India 05
- Q.5 A What is export and import? Write steps of export procedure. 05 10
- B Briefly explain the term foreign direct investment. How is it different from portfolio investment or foreign institutional investment? 05
- Q.6 A The domestic division of a multinational company Amanda ltd. incurs a net operating loss of \$3,000. But at the same time, a foreign subsidiary of the company made of profit of 3,000 units of foreign currency. At the time, the exchange rate between the dollar and the foreign currency is 1 to 1. Before the parent company consolidates its financial reports, the exchange rate between the dollar and the foreign currency changes. Now 1 unit of foreign currency is only worth \$.50. 20
- What is the net profit/loss for Amanda in both the case before and after the rate change? 05
- B What is Transaction exposure? How forward contract and option can be used 05

to mitigate transaction exposure? Explain with example.

- C Explain the TT and Bill buying and selling rates. 05
- D On 8th Sep, an exporter tenders a demand bill for USD 100000 drawn on 05 New York. The USD/INR quote is as under:

Spot USD 1	34.3000/3500
Spot Sep	6000/7000
Spot Oct	8000/9000
Spot Nov	10000/11000

Transit Period is 20 days and Exchange margin 0.15%. Calculate Rupee payable to the customer. Customer wants to retain 15% in Dollars.